

Money Market

1. Theories of Demand for Money - Classical Approach-Highlights:

◆ The Quantity Theory of Money (QTM):

- ◆ Theorist- Irving Fisher
- ◆ 'Equation of Exchange' or 'Transaction Approach':

$$MV = PT$$

- ◆ Extended Equation of Exchange:

$$MV + M'V' = PT$$

◆ The Cambridge Approach/Cash Balance Approach or Neo-Classical Theory:

- ◆ Theorist- Alfred Marshall, Pigou, Robertson & Keynes
- ◆ Money Demand Function:

$$M_d = k PY$$

◆ The Keynesian Theory of Demand for Money:

- ◆ Theorist: John Maynard Keynes
- ◆ People hold money (M) in cash for three motives:

(i) **Transactions Motive:** The transactions demand for money is a direct proportional and positive function of the level of income.

(ii) **Precautionary Motive:** Keynes regards the precautionary balances just as balances under transactions motive, meaning they increase with income but are not highly affected by interest rates.

(iii) **Speculative motive:** The speculative demand for money and interest are inversely related.

2. Theories of demand for money - Post-Keynesian theories-Highlights:

◆ Inventory Approach to Transaction Balances/ Real Cash Balance:

- ◆ By Baumol and Tobin
- ◆ Cash withdrawal function (C) :

$$C = \frac{\sqrt{ü}}{r}$$

(2b = Two times broker's fee,

Y = Individual's income, and

r = Interest rate)

◆ Friedman's Restatement of the Quantity Theory:

- ◆ Demand for money is affected:

1. Permanent income.
2. Relative returns on assets. (which incorporates risk)

- ◆ Four Key Determinants:

1. Total wealth = permanent income divided by discount rate (includes money, bonds, equity, physical & human capital).
2. Positively related to price level.
3. Inversely related to the opportunity cost of holding money.
4. Influenced by inflation.

◆ The Demand for Money as Behaviour toward Risk:

- ◆ By James Tobin.
- ◆ An individual's behaviour shows risk aversion, which means they prefer less risk to more risk at a given rate of return.
- ◆ Tobin's liquidity preference function curve is downward sloping.

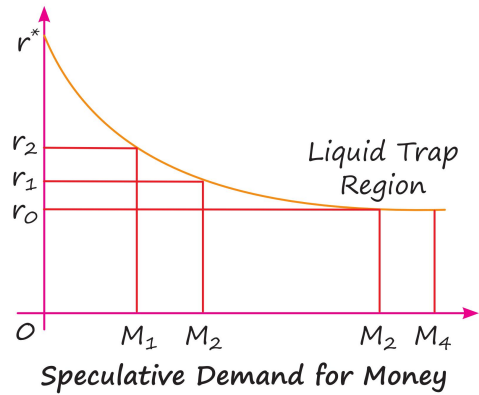
3. Measurement of Money Supply:

M_1 - Narrow Money	Currency notes and coins with the people + Demand deposits with the banking system (Current and Savings deposit accounts) + Other deposits with the RBI.
M_2	M_1 + Savings deposits with post office savings banks.
M_3 - Broad Money	M_1 + Time deposits with the banking system.
M_4	M_3 + Total deposits with the Post Office Savings Organisation (excluding National Savings Certificates).

4. Different Concepts:

◆ Liquidity Trap:

- ◆ The interest rate is very low; it cannot go further lower.
- ◆ Public holds cash instead of bonds, unaffected by interest rates (e.g., war, deflation).
- ◆ Investors choose cash over bonds, fearing losses.
- ◆ The speculative demand curve becomes perfectly elastic parallel to the X-axis.
- ◆ Monetary policy is ineffective/powerless—cannot stimulate growth.



- ◆ **High-Powered Money:** It is the source of all other forms of money. The second major source of money supply is the banking system of the country. Money created by the commercial banks is called 'credit money'.
- ◆ **Reserve Ratio:** Banks must keep a part of their deposits as reserves.
- ◆ **CRR:** Banks must keep this portion as cash with the RBI. They cannot lend it or earn interest on it.
- ◆ **SLR:** Banks must invest this portion in liquid assets like gold or government-approved securities. They can earn a small amount of interest.
- ◆ **Money Multiplier:** Banks receive high-powered money from the central bank and create more money through loans, increasing the money supply. This increase in money supply is the money multiplier.

◆ Formulas:

$$1. m = \frac{\text{үүнийнүүний}}{\text{үүнийнүүний}}$$

2. ийийийийийийийий

3. $\frac{\ddot{u}}{\ddot{u} \propto}$